

Sean Minter, Founder CEO of AmplifAI

Sean has bootstrapped AmplifAI to \$1M, and then raised over \$15M in two rounds of financing. Read on to learn the nuances of his strategy and execution.

Sramana Mitra: All right, Sean, let's start at the very beginning of your journey. Where are you from? Where were you born, raised? What kind of background?

Sean Minter: My background is Indian. My parents are from Indore and Bhopal in India. I've been in the US most of my life. I came here when I was three years old and was educated here.

But I have lots of family in Indore, Bhopal. From a company perspective, we have an office in Hyderabad and a couple in the US as well.

I've grown up here in the United States and moved around here a lot as well over the years.

Sramana Mitra: So, you've lived in different parts of the United States.

Sean Minter: I went to elementary school in Virginia, middle school in New Jersey, high school in Ohio, college in Ohio, and I've lived in Texas and Florida since then.

Sramana Mitra: You're based in Texas now?

Sean Minter: Yes, I'm now based in Texas.

Sramana Mitra: Did you study engineering?

Sean Minter: Yes, I did. I have an engineering degree. While I was working at my first job, I got an MBA as well by going to school in the evenings.

Sramana Mitra: When does your entrepreneurial journey begin?

Sean Minter: It begins about four years after college. I spent four or five years working in the telecom industry at MCI and AT&T. I then started my entrepreneurial journey.

Sramana Mitra: What year are we talking?

Sean Minter: In 1996.

Sramana Mitra: So the beginning of the internet, roughly speaking.

Sean Minter: Exactly.

Sramana Mitra: What was the first company that you did?

Sean Minter: It's probably 1997 when the journey began. There was a lot of change happening during that timeframe. The telecom business in the US was being deregulated. There weren't monopolies in the local phone service business anymore. The long distance carrier business had been a competitive industry for a while. Coming from the long distance market, we were all focused on trying to get into the local service monopoly business. In developing those strategies while

working at AT&T and MCI, I got an idea. I must have had the entrepreneurial bug. I figured out that if the long distance companies can do it, we can beat them to it because we can be faster.

Some of the folks from AT&T and I left and started our own competitive phone company. Selling local phone service, we were one of the first ones because that was monopoly until then. Once the market opened up, we were the first ones in the market selling it.

And that was a journey in itself because none of us had ever done sales before, right? And that becomes a challenge when you've never done sales.

Sramana Mitra: What part of the country were you doing this in?

Sean Minter: I was in Dallas.

Sramana Mitra: You were doing B to C?

Sean Minter: No, it was B to B. I've never been in the B to C business. Everything I've ever done was B to B.

Sramana Mitra: So it was B to B telecom. How did you finance this company?

Sean Minter: We financed it out of our own pockets. We didn't raise any money. We bootstrapped it and built it up.

I'm on the Board of the University of Texas at Dallas in the Entrepreneur School. I teach and I always tell people that the number one thing you need to learn as an entrepreneur is how to do sales. Even if you're a good programmer, it doesn't make any difference. I can hire programmers, right?

The number one thing you can do is learn how to do sales. We learned that the hard way because none of us knew how to do sales. We thought it would be easy to start a company. When we tried to go sell to customers, nobody would ever buy from us.

Sramana Mitra: What changed? How did you convince customers to buy?

Sean Minter: It was with practice. We'd knock on doors, talk to people, learn why they were getting objections, and figure out how to overcome them. It would have been faster if we already knew how to do sales, but we didn't. So we had to learn to become salespeople.

Sramana Mitra: What were the highlights of that journey? How long did you do it for? How big did it get and what happened to it?

Sean Minter: That company got to about \$5 million in revenue. We actually sold it to a larger telecom entity called Birch Telecom.

In the next phase, broadband was just coming up. It was the late nineties. Everybody was still on dial-up internet. Nobody really had DSL or cable modems. So we raised for the next company. We actually raised money from the beginning. Over time we raised almost \$250 million and built out a large telecom infrastructure doing broadband through the Midwest in the South of the US, basically

covering about half the country. We partnered with Lucent Technologies back then and we built that business up and sold that ultimately.

Sramana Mitra: Was it a successful exit?

Sean Minter: It was a successful exit in a way. We had a lot of debt. So the equity, to be honest with you, didn't make as much as you would think for a large entity like that.

That's where I learned a little bit about debt and leverage. Debt and leverage becomes a challenge in a troubled market, especially around 2001-2002 when all the tech valuations got crushed, when you're trying to exit and you have debt that has to get restructured. The equity made a little bit of money, but not as much as you would think for the large exit.

Sramana Mitra: What year does that bring us up to?

Sean Minter: That gets you to 2002-2003.

Sramana Mitra: Okay. What happens next?

Sean Minter: Well, voice over IP is the next technology. So we exit the broadband business. We move into selling voice over broadband at that point. Again, all B to B, not consumer focused.

Sramana Mitra: In Telecom?

Sean Minter: Yes. So we set up data centers. We put voice over IP switches into our data centers, connected them to the Internet, and then we're able to resell writing voice over the Internet, replacing phone systems and things like that within the small business market. Then we ultimately bundled it with security and data and everything else to write a bundle package into a small, medium business. Again, we had just face to face sales with sales teams in the field doing B to B sales. For that company, we didn't raise any money and got to about \$20 million in revenue. We sold that to a public company called GTT.

Sramana Mitra: And that was a good exit?

Sean Minter: Yes, that was a good exit. There was really no equity or debt. That was 100% employee owned.

Sramana Mitra: And that's where you probably made the most of your money.

Sean Minter: That's true. That was probably the best one so far. After that, I ended up working for a private equity firm. That's kind of how Amplify got started. I ended up running a contact center BPO business that they had bought. I'd never been in the contact center business before, but telecom companies have contact centers. So I was familiar with them. So they bought an outsourcing company called PRC out of South Florida that had about 15,000 employees in the U.S. and they were outsourcing call center work to Philippines, India, and Latin America.

That's where the concept of what we do at Amplify came about. I had all these people. I didn't know how to manage them. There was a lot of labor going into trying to understand performance. We

ultimately sold that company as part of the PE firm to a company called Alorica. Then I started Amplify.

Sramana Mitra: So what is the genesis of AmplifAI? What did you want to do with AmplifAI? What was going on in the market that gave you those ideas? Explain what is AmplifAI? What does AmplifAI do?

Sean Minter: What AmplifAI does is, it takes data being generated in the call center to understand what your top performers are doing. It uses that data to drive actions to people to be able to replicate what those top performers are doing without labor-intensive work like generating reports, listening to calls, and figuring out what training people need.

How do I drive the labor-intensive actions a little more methodically – deliver better actions to super team leaders and supervisors, give trainers what they need to focus on, automate the quality process and ultimately make the agents better so they can perform better.

Sramana Mitra: How did you get this started? Is this a funded company or a bootstrapped company?

Sean Minter: I bootstrapped it to almost \$1M ARR.

Sramana Mitra: Let's focus on that phase. I just want to go from that zero to \$1 million ARR phase. Where did the customers come from and were you building the product with customers or did you build something and then go to customers, how did you navigate that first phase?

Sean Minter: I had a good idea of what was needed because I would have been a customer. We built most of it on my vision of what was needed in the market. There was no customer involved. But for any B to B business, the only way to get your initial customers is through relationships. To be honest with you, it's hard. That's why it's always good to have experience working in an industry if you're going to do B to B.

Sramana Mitra: Yes, absolutely. Domain expertise and domain relationships matter.

Sean Minter: Otherwise it's hard to get started because you're a company that doesn't have a lot of resources. Nobody's heard of you. Who's going to take the risk? You're basically selling your own personal brand and relationship when you sell to your initial set of customers. If you don't have existing relationships, it's hard to go sell your personal brand because nobody knows you.

So the initial customers are all people that you somewhat know or familiar with and industry people that you would have previously met.

Sramana Mitra: So, how long did it take you to get an MVP out?

Sean Minter: We were building AmplifAI for probably a good year before we got our first beta customer and started working with them to get it implemented and going. It's probably another good six months or so to get them launched and running.

Sramana Mitra: And when was that?

Sean Minter: That was the 2015-2016 time frame.

Sramana Mitra: So around 2015-16, you're developing the MVP for a year. Then you took another six months of implementing it to your first beta customer that came out of your relationship.

What are the economics of a first customer in the kind of business model you were pursuing?

Sean Minter: Our business has recurring revenue. There's a per user fee. Our customer was pretty large, but we obviously didn't get all of it. We got a portion to kind of test things out with.

So I think our revenue was fairly limited. It was probably \$5,000 a month or \$60,000 ARR for that first client for the pilot and getting an operational working model and showing the benefits.

Sramana Mitra: And this \$5,000 ARR POC was rolled out for how many users?

Sean Minter: The rollout in the pilot was probably for around 200-300 users.

Sramana Mitra: What was the full scale of potential of the customer that chose to do this with you?

Sean Minter: Well, that was a large customer with fifty thousand users. They're an outsourcer, right? So they can't decide on using it on every user. It's kind of client by client for their perspective. So it's not like if you were successful at one client, all of the clients would use it because it's a decision that's made client by client.

So the potential was large. But in the end, it was really just about getting a customer so that you could prove the use case and then grow from there.

Sramana Mitra: So, you start with this \$5,000 MRR and \$60,000 ARR deal, how does this evolve from there? How do you get to the next few customers or how did you get to upsell on this account? How did this evolve?

Sean Minter: You obviously have lots of relationships, not just one. So this is the first one. But as you continue to work other relationships, you land other accounts and all the initial accounts are all relationship based through somebody you knew that found you. So, essentially many different customers ended up in the same bucket. They were all initial POCs.

Sramana Mitra: And they were all in that range of \$60,000 ARR deals.

Sean Minter: We pretty much went out to the market saying, no matter what number of users you have, the minimum to work with us is \$5,000 MRR. You could put one user on it or you could put 100 users on it. Our base price would be about \$10 per user on a large scale. But we came in with a minimum just to be able to support the infrastructure necessary to get a customer work.

Sramana Mitra: This is an important point that you just made for people who are in the MVP stage, trying to get the first paying customers. Because \$10 MRR is not exactly something you could work with.

Sean Minter: Exactly. You can't do it at that price point. So, you've to get the customer to commit to a minimum to pilot this out. If you try to sell per user and they want to pilot twenty users, it would be impossible to make that worthwhile from a revenue and cost perspective.

Sramana Mitra: So, how long did it take you to get to \$1 million ARR? You said you bootstrapped to \$1 million ARR.

Sean Minter: It took until 2019. We raised our first round of funding when we got to around a million ARR.

Sramana Mitra: So it took you four or five years of bootstrapped business building – building the product, getting the POCs going and so forth to get to \$1 million ARR. How many POC customers or the \$60,000 ARR kind of range customers did you have in the pipeline when you went out to raise that first round of financing?

Sean Minter: We probably had ten to twelve clients at that point of time.

Sramana Mitra: Was it a reasonable investment thesis for an investor coming into this deal that you had ten to twelve customers that made up your \$1 million ARR and you could easily triple that before the next round of financing was necessary?

Sean Minter: Everything is a risk. There's no guarantee.

Sramana Mitra: Investment thesis is not a guarantee. It's a hypothesis on which people were investing in your company.

Sean Minter: The hypothesis is, can these people grow those ten to twelve customers to double, and then double the customer base to get to \$2 to \$3 million? I think that's a hypothesis. There's no there's no clear way of really getting a good understanding on it. I think most of the time, investors bet on the people, not on the actual business.

Sramana Mitra: No, that's not true. In this case, investors are not just betting on the people. You have \$1 million ARR.

Sean Minter: That's because the people got you to one million ARR. People that don't know what they're doing can't get to one million ARR. If you can bootstrap your way to a million ARR, you're probably a pretty fairly scrappy business with limited churn and other such metrics.

Sramana Mitra: But those are all metrics that have to be valid.

Sean Minter: From my perspective, the people that know what they're doing can drive performance, can drive sales, can drive metrics, but it's all the people that execute.

Sramana Mitra: I'm sorry, but Sean, this SaaS business is full of churn – in series A financing, series B financing, and series C financing.

Sean Minter: Then they're betting on bad people.

Sramana Mitra: I don't agree with you. I don't think it's about the people only. There're also product issues there, whether you've got the right product or not. Some products don't work.

Sean Minter: Well, then that's a person that created the product that didn't understand the market or defined what the product requirements were.

The CEO didn't understand the market and created a bad product. Well, that's a person.

Sramana Mitra: In the kinds of numbers you're talking about, people don't just bet on people. People bet on metrics and you have the metrics. I think the good news is you have them.

Sean Minter: I mean, when I hire people, I don't hire them just because they work somewhere else. They have to be able to execute. So no matter what the numbers are, ultimately, there's a person behind the numbers and either execute or they don't.

Sramana Mitra: But whether you're executing or not is visible in the metrics. The point I'm making is that you have metrics. People cannot bet on people without metrics.

Sean Minter: If you have people that talk a good game but have bad metrics, it's hard to invest. You have to have a combination.

Sramana Mitra: But you have bootstrapped to a million dollar ARR. There are people who are raising money at pre-seed and seed where metrics are a lot less visible at which point people are betting more on people.

Sean Minter: If you're free revenue, then it's a 100% bet on people.

Sramana Mitra: There's an investment thesis on a market and an investment thesis on people. In your case, you have real metrics where you have executed up to a point. This is the best set of cards to raise money with.

Sean Minter: I think the other thing that's bad in today's market is that people think that as an entrepreneur, your job is to raise money and as much money as possible. I think that's a bad thesis.

Your job is not to raise money. Your job is to raise a little money as possible, not to raise as much money as possible. Maximize your company's growth.

Sramana Mitra: Absolutely. How much did you raise in Series A?

Sean Minter: We raised around \$3.5 million.

Sramana Mitra: Wonderful. That's great.

Sean Minter: Then we went from about a million in revenue in 2019 to about \$4 million in revenue in 2021. Then we raised our next round of funding for \$12 million.

We raised two rounds. One was \$3.5M in 2019 and the other was \$12M in 2021.

Sramana Mitra: So, when you raised \$3.5 million, what did you determine as the place where you needed to invest? Was it people? Was it a certain go-to-market strategy where you were doing customer acquisition? This is a sales-based business, right? It's a business where you have to actually do the selling. It's not a digital marketing kind of business.

Sean Minter: It is sales-driven, but it's driven more by customer success in many ways, because you can get a customer to come in and pilot with you. But what drives a business is getting that customer for the long term and growing them, not a small initial pilot.

Sramana Mitra: That is right.

Sean Minter: So you have to bring them in from a sales perspective, but sales drives a small amount of revenue. Nobody's going to sign up for a large amount on day one.

Sramana Mitra: Yes.

Sean Minter: Customer success really drives the land and expand strategy. Most of your revenue growth usually will come from there.

Sramana Mitra: So that's where, where you got the money to invest in – the account management.

Sean Minter: Customer success, and obviously tech product, but customer success is our largest organization that drives customer relationships, customer stickiness, customer growth, getting into new lines of business, and referrals from customers to other customers. Especially since we target mid to large enterprise customers, which are very much more relationship based than the SMB segment.

Sramana Mitra: Yes, it is relationship-based, but it's also ROI-based.

Sean Minter: 100%. Only ROI-based when you get to that size client.

Sramana Mitra: Talk a little bit about how you calculate ROI and how you derive pricing out of that?

Sean Minter: ROI comes from multiple places. One, people efficiency. They can use this to make people more efficient so that they need fewer people. That's a hard ROI.

Two, productivity improvement. Somebody takes X amount of time to do work, and now it takes them less time to do the same work. So you get productivity improvement.

Three, ultimately, any kind of customer experience improvement. For instance, we're in the contact center business where NPS and customer satisfaction improvement are all soft benefits. It's hard to quantify a dollar amount to that. It's hard to put that in ROI. That just becomes an extra benefit.

Employee retention becomes another benefit. In contact centers, there's a lot of churn. Training is an expensive line item. So in our view, ROI comes from employee productivity, efficiency, and reduction

in employee churn. Then you get the side business benefits of customer satisfaction and NPS improvements.

Sramana Mitra: You said you were charging \$10 per month, right?

Sean Minter: It depends on size of the client. For a large client, it is \$10. For smaller clients, it is based on volume and it can be \$30-\$40.

Sramana Mitra: So, based on the line items that you noted in this conversation, when you're charging \$10, can you deliver a \$100 ROI per month? If you're charging \$30-\$40, can you deliver a \$300 ROI per month?

Sean Minter: We have lots of case studies with clients where we've delivered ten X and greater ROI in terms of hard dollar savings to customers.

But some of it also requires the customers to do things. That's the other variable in our business. You can't just give people software and say, "Good luck, go at it!"

Sramana Mitra: Right, that's where you get churn.

Sean Minter: If you put your put all your eggs in the customer doing everything they need to do, you're going to lose. You have to actually hold their hand through the process, teach them, follow up with them, and make sure they're doing the things they need to do.

If you do that well, which is a customer success account management team, that's how you show success. Otherwise, thinking you can hand the software to a company and let them kind of run it and be successful at it is also a bad idea. It's hard to have that much dedicated service in the small business world, but you can in the mid to large customer segment.

Sramana Mitra: Customer segment choice-wise, where have you positioned your company? Is there a particular type of customer? You said mid to large, but where you do well? Is it telecom?

Sean Minter: Among verticals, Telecom is one. We have four large verticals – Retail e-commerce clients, Health care clients like insurance companies, Financial services clients that have lots of financial services activity, and finally, tech and telecom kind of clients.

Most of our business comes from that. About seventy percent is with clients directly and thirty percent is with outsourcers where they outsource their customers to the BPOs.

Sramana Mitra: Let's talk about the next round of financing now. You went from \$1 million to \$4 million, and then you raised another \$12 million round of financing, where were you expanding? Where were you investing at this point?

Sean Minter: In the second round of financing, the go-to-market strategy became a much larger portion of the investment. Going from four to ten to fifteen kind of range using that funding requires a much different go-to-market motion than going from zero to one or one to four. There was way more investment in the go-to-market motion with the second round of investment because product was

already there. We invested a little more in product, but that wasn't like a large increase. Customer success account management plans were there. Obviously, as customers come, you continue to invest in that. But the bigger change in people requirements came in the go-to-market motion.

Sramana Mitra: Talk more about that. So in the first round of financing, you do have a bunch of large accounts. There's a lot of expansion within those accounts and a lot of revenue and probably some amount of new customers coming in from those accounts. But in the land and expand motion, the expand motion is the bigger emphasis. In the next round, it's land that becomes bigger, right?

Sean Minter: Yes, we got to land so that you can expand.

Sramana Mitra: Yes. Tell me more about what did you learn about the land phase and what was repeatable? Repeatability is also very important.

Sean Minter: I think in the beginning of any business, at least for us till the \$4 million stage, everything is founder-led sales. If you think you could hire a BPO of sales and try to teach them your product and get them comfortable enough in clients, it'll never happen. I think you have to be the client facing person and get them comfortable because from the client's perspective, they have no idea who you are and what your business is. They're betting on you as a person. Do you sound like you're credible? Do you sound like you know what you're doing? Do you sound like you know my problem? Do you sound like you know a solution?

You're not going to teach somebody from the outside that in the beginning. It's never going to happen. If you think you're going to hire some outside salesperson, you're probably never going to be successful. You've got to be out there in the front. Then, as you grow, you have to be able to get a repeatable motion, but now you have more credibility.

Sramana Mitra: You have case studies and customer references.

Sean Minter: Then you can start transitioning, but you'll never be out. For the largest clients, you always have to be in the sales process as the founder. You'll never be out, but you can create a repeatable motion where at least a sales team can get you 70% to 80% close. And then you can come in towards the end and help close things in this realm. Obviously, I'm still involved in most of the large sales. We have a sales team that can kind of bring people in the door and drive it. Now, the next round probably is where you'll have a team that can close it without you, even the bigger deals.

But I think really large clients will always need to talk to the founder or CEO type person because they're making a bet on some small company they've never heard of.

Sramana Mitra: So, in terms of that repeatability that you have established, how do you extract the pain point in a new account? How do you figure out that they're ready to talk to.

Sean Minter: That's always more art than science, to be honest. If you can figure that out, that would be great.

Sramana Mitra: You have to figure it out.

Sean Minter: That's always an ongoing process. We're still figuring some of those types of things out. From a sales team perspective, we're figuring out, are they ready or are they not ready? It all comes down to, in some ways, how many leads can you generate.

If you're generating a decent amount of leads, you can be more picky about which ones you go after. If your lead gen process is limited, every lead is important. So it comes down to how you generate lead gen. If a lot of your lead gen is more inbound of content you're generating, maybe they're not the largest client. It also comes down to the customer size. So if you're going after a small business, you have to be a lot faster at putting out. That's high volume.

Sramana Mitra: But you're not going after small business, right?

Sean Minter: We're not. So that's why I'm saying the motion is based on the company you're talking to. Our sales cycle could be two to three years for the largest clients. We have some clients with ten thousand plus users now. Those sales cycles took a couple of years to get in the door.

We have small clients who have six-month sales cycles.

So the client segment is important. The sales cycle is different. But every lead, especially the large ones, are fairly important.

Sramana Mitra: So, how do you do lead generation?

Sean Minter: You can't really get into large clients outside of face to face. We get access to most large enterprises at trade shows and by going to events that they're going to be at.

Lead generation for midsize enterprises can be done over social media. We do LinkedIn campaigns and things like account-based marketing.

But you're not going to get into the large, huge opportunities which we currently have in that process. That's always going to be through some sort of face to face activity.

We have a channel partner program. It's finally getting going. Channel partners won't work with small startups, right? Because it's too much activity.

Sramana Mitra: Without referenceability, they're not going to work.

Sean Minter: But we've gotten big enough to where we now have channel partners that can take us into deals and that generates a decent amount of lead flow.

So we have leads coming three ways. Trade shows used to be the only way we got leads.

Now we have outbound activity – we have ABM activity primarily focused on LinkedIn. We have channel partners and we have our trade shows.

Sramana Mitra: How successful is your LinkedIn channel?

Sean Minter: Still not very successful yet.

Sramana Mitra: Not very successful.

Sean Minter: We think it will be. But to be honest with you, the world is flooded with so much outbound and LinkedIn and things like that. Our view is that the more people see you and hear of you through multiple channels, the more likely it is you will eventually get into some sort of connectivity.

Sramana Mitra: In your next phase of going to a larger body of land, you are going to have to make the LinkedIn channel successful.

Sean Minter: Yeah, 100%. We focus on getting more inbound activity, which means you have to direct outbound campaigns, account based marketing, and focusing case studies into verticals and users. That gets more complex. So we brought in a new leader of marketing about nine months ago to help us drive that.

Sramana Mitra: So where are you now in terms of numbers? You don't have to share anything that you don't feel comfortable.

Sean Minter: We're in the \$10-\$15 million ARR range today. Our goal is to get to the top end of that by the end of the year. We'll continue to grow and do not need to raise any money. We're fairly conservative with our cash, so we have plenty of money still available from our 2021 raise. We have lines of credit, so we'll continue growing and we'll see if we want to go raise money. We'll do it based on what we think is a good time for us to go do it.

Sramana Mitra: Well, I think now that you have a lot of large customers, your revenue should be able to finance a lot of the growth, right?

Sean Minter: Yes, it always comes down to how much you want to invest in go-to-market. We could become profitable today if we wanted to. The future growth would get impacted because we wouldn't be able to spend as much.

Sramana Mitra: A question that I think is at the heart of a lot of these CPC kind of scenarios is that, have you determined what you spend that money in? You have the capacity today to raise money.

Your metrics are such that raising a decent series C should not be a problem, but what customer acquisition hypothesis is going to give you real velocity?

Sean Minter: Yes. That's why we're not really in a rush to go raise money because we want to figure out how we scale better before we go raise money. Because once you raise money, you have pressure to spend it.

Sramana Mitra: Exactly.

Sean Minter: And if you don't know how to spend it, then you're going to blow it and then you won't hit the metrics you want to hit. You don't have to be one hundred percent there. We at least have to have a good idea how to do certain things.

Sramana Mitra: You have to validate some of those customer acquisition strategies and understand the unit economics of those customer acquisition strategies and be able to say, “Okay, it’s working at a small scale. If I put in a \$100, I get, let’s say a \$1,000 or \$10,000 or whatever. So now if I put in a million dollars, I would be able to get \$10 million.”

Sean Minter: You can upsell existing clients. There can be multiple other products that are built that can be upsold. Because you have an existing base you can upsell to. You have new customers you want to get and expand. So as you get larger and you have an existing base, you got to work that part as well that you can grow revenue with, which is, “Hey, I can add on these capabilities and features and now upsell them.”

So a lot of those types of things also come into play as we think about it. A lot of our upside will come by not just selling what we currently do, which we’ll continue doing, but also getting into new verticals that we may not be in now and upselling those. If you have happy clients, they’re happy to work with you and to do additional things.

Sramana Mitra: If you have client relationships, upselling is one of the lower hanging fruits. It’s much more expensive to acquire new customers than to upsell into existing customers.

Sean Minter: Absolutely. You always have to get new ones in because eventually you’ll run out of upsell. But so you always have to have the land. That’s always the thought in every business. Any business is only as good as how do you generate leads? How can you close them and how can you grow them? I mean, those are kind of the basics.

Obviously, to grow them, you have to keep them happy. So all these other variables come into play. You got to have a product. You got to have the support. You got to have relationships and all those kinds of things. But ultimately, those are the basics. How do I get people interested? How do I close them and how do I grow them?

Sramana Mitra: Yes, and at the heart of that question is a poorly understood discipline called positioning.

Sean Minter: 100%. Positioning is always constantly on the move.

Sramana Mitra: But it’s not effective to have your positioning constantly on the move because positioning drives messaging. And if you really want inbound leads and all of that stuff, you have to get to a positioning that is going to harness that energy and interest.

Sean Minter: So at our size, we’re getting to where our position needs to be harder. When you’re small, right, you have to be a little more flexible. Positioning changes based on every new customer and what you learn from them. You can’t be so fixed on positioning. You’re missing a change in position to get you access to a whole bunch of other things. When you’re small, there’s more flexibility. As you’re bigger, you want to get more fixed.

Sramana Mitra: It depends, if you have the luxury of going from zero to \$1 million in four to five years, you can shift things around and experiment. If you’re on a venture timescale, you

have to execute on a repeatable basis and get to \$1 million in a year. You don't have the luxury of five years to get to \$1 million.

Sean Minter: That's true. Getting to that million is hard. That's where a lot of people fail, but they remove the flexibility of what they can do to get there.

Sramana Mitra: If you can bootstrap the early stage, you are in a stronger position, no question.

But, you know, today there are probably a quarter million companies in the world that have got some amount of financing, whether it's incubator financing, accelerator financing, micro VC, pre-seed round, micro VC, seed round, or a series A, but there's a very large number of funded companies out there. A vast majority of them are struggling with velocity,

Sean Minter: Yeah. Well, to be honest, it's hard to get velocity. You have to experiment to understand.

Sramana Mitra: And experimenting on VC money or investor money is very, very expensive and mostly it doesn't work.

Sean Minter: It's like a conundrum, right? If you don't have the money to bootstrap it yourself, what do you do? You kind of take the best shot you got.

Sramana Mitra: Yeah. All right. Well, very good. Congratulations. You're executing very well. So I'm sure this is going to be a very interesting company. Glad to know about it. And we look forward to covering it.